AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B294

Financial Analysis and Decision Making

Mid-term Examination / Version: B

2025-2026 / Fall

18-November-2025

Number of Exam Pages: 3 (including this cover sheet)	Time Allowed: 2 H

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to writ
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phone examination
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheati

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Question 1 (30 marks)

During its lifetime, a firm will require financing to run its operations. The main financing options available are either equity or debt. It is critical therefore, that financial managers are able to evaluate how much a particular option will cost, otherwise known as '*the cost of capital*'. Discuss the cost of capital from the perspective of the company and that of the investor. Provide examples where needed to support your discussion.

Question 2: (30 Marks)

Using the following information below;

Year	Cash Stream A	Cash Stream B
1	$200	$300
2	500	400
3	400	500
4	600	400
5	400	100
Discount Rate	10%	14%

Required:

A. Calculate the *present value* of cash stream A. (15 marks)

B. Calculate the *future value* of cash stream B. (15 marks)

Note: Students must answer all of the following questions and must show their understanding by showing their calculation steps.

Question 3 (20 marks):

Continental's has a Beta coefficient of 1.15, in a market that returns an average rate of 8.5 percent. The company has a before-tax cost of debt is 15 percent, and its marginal tax rate is 30 percent. Also, the current risk-free rate on a 5-year government bond is 3.6 percent.

Assets		Liabilities and Equity	
Cash	$140	Long-term Debt	$?
Accounts Receivables	540	Equity	3,000
Inventories	660		
Net Plant and Equipment	3,660		

Required:

Using the balance sheet information, calculate Continental's after-tax weighted average cost of capital.

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Question 4 (20 marks):

Hend would like to buy a car that will cost her $180,000 (20) years from today. Fatma also wants the same car that costs $180,000 but she is only willing to wait 15 years. How much more would Fatma have to deposit today as compared to Yasmeen if they both are to reach their goals and the interest rate for both is 16 percent?

END OF EXAM

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